



# Principles of Management

**MGT 101 Handout**

Part One

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# Chapter 1

## Managers in the Workplace

In this introductory chapter, you will explore the concepts of management, manager skills, and organizations in today's dynamic business environment.

### LEARNING OBJECTIVES

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1. Tell who managers are and where they work.
2. Explain why managers are important to organizations.
3. Describe the functions, roles, and skills of managers.
4. Describe the factors that are reshaping and redefining the manager's job.
5. Explain the value of studying management.
6. Describe the benefits of the Employability Skills Matrix (ESM).

### CHAPTER OUTLINE

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#### TELL WHO MANAGERS ARE AND WHERE THEY WORK

Managers may not always be what we expect. Today's managers range from 18 to 80, they're found in a variety of different types of organizations, and they perform a variety of jobs from the top to the bottom of the organization. Statistics show an increasing number of women in management; however, while their number is increasing, it is mostly in the area of lower and middle management, not top management. Similarly, only 20 (4%) were minorities.

#### Who Is a Manager?

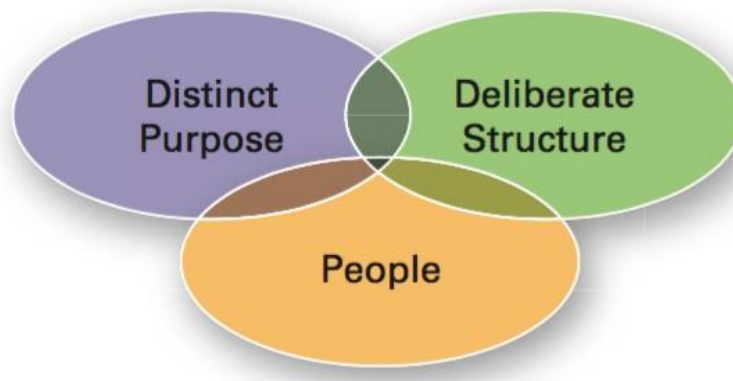
- A. The changing nature of organizations and work often requires employees in formerly nonmanagerial jobs to perform managerial activities. Students who are preparing for careers on any organizational level can benefit from acquiring management skills. Today's employees need to be cross-trained and multi-skilled.
- B. How do we define a manager? A **manager** is someone who coordinates and oversees the work of other people so that organizational goals can be accomplished. However, keep in mind that managers may have additional work duties not related to coordinating the work of others.
- C. Managers can be classified by their level in the organization, particularly in traditionally structured organizations—those shaped like a pyramid



1. **First-line (or front-line) managers** (often called supervisors) are typically involved with producing the organization's products or servicing the organization's customers. These managers are located on the lowest level of management.
2. **Middle managers** include all levels of management between the first level and the top level of the organization. They may have titles such as regional manager, project leader, store manager, or division manager.
3. **Top managers** include managers at or near the top of the organization who are responsible for making organization-wide decisions and establishing plans and goals that affect the entire organization.

#### Where Do Managers Work?

- A. An **organization** is a deliberate arrangement of people to accomplish some specific purpose. Organizations share three common characteristics (1) each has a distinct purpose; (2) each is composed of people; and (3) each develops some deliberate structure so members can do their work.



- B. Although these three characteristics are important in defining *what* an organization is, the concept of an organization is changing. These changes include flexible work arrangements, employee work teams, open communication systems, and supplier alliances. Organizations are becoming more open, flexible, and responsive to changes.

## WHY ARE MANAGERS IMPORTANT?

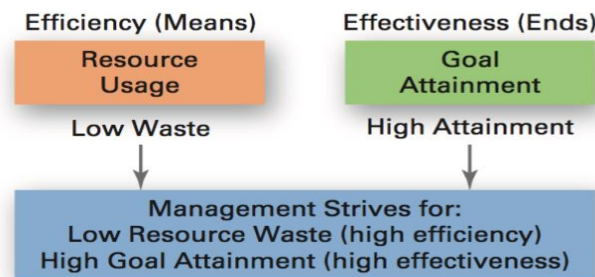
Managers have an important impact on both employees and the organizations in which they work. The following three reasons address their importance:

Organizations need their managerial skills and abilities more than ever in these uncertain, complex, and chaotic times. Managers are critical to getting things done. Managers do matter to organizations! According to a Gallup poll of tens of thousands of managers and employees, the relationship of manager to their employees and supervisors is the single most important variable in employee productivity and loyalty.

## MANAGEMENT VS. MANAGERS

### *What is Management?*

- A. **Management** involves coordinating and overseeing the work activities of others so that their activities are completed efficiently and effectively.
- I. **Coordinating and overseeing** the work of others is what distinguishes a managerial position from a nonmanagerial one.
  - II. **Efficiency** is getting the most output from the least amount of inputs in order to minimize resource costs. Efficiency is often referred to as “doing things right”
  - III. **Effectiveness** is completing activities so that organizational goals are attained and is often described as “doing the right things”



### *What Do Managers Do?*

- B. **Management Functions.**

Henri Fayol, a French industrialist in the early 1900s, proposed that managers perform five management functions: POCCC (planning, organizing, commanding, coordinating, and controlling).

1. Over time, Fayol’s five management functions have been reorganized into four functions, which provide a foundation for the organization of many current management textbooks

- a. **Planning** involves defining goals, establishing strategies for achieving those goals, and developing plans to integrate and coordinate activities.
- b. **Organizing** involves arranging and structuring work to accomplish the organization's goals.
- c. **Leading** involves working with and through people to accomplish organizational goals.
- d. **Controlling** involves monitoring, comparing, and correcting work performance.

In practice, managing is not always performed in a sequence as outlined above. Since these four management functions are integrated into the activities of managers throughout the workday, they should be viewed as an ongoing process

### Management Roles

Henry Mintzberg, a management researcher, conducted a precise study of managers at work. He concluded that managers perform 10 different roles, which are highly interrelated.

**Managerial roles** refer to specific categories of managerial behavior.



- a. **Interpersonal roles** include figurehead, leadership, and liaison activities.
- b. **Informational roles** include monitor, disseminator, and spokesperson.
- c. **Decisional roles** include entrepreneur, disturbance handler, resource allocator, and negotiator.

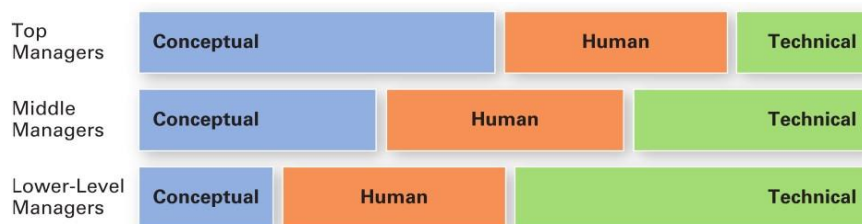
Follow-up studies of Mintzberg's role categories in different types of organizations and at different managerial levels within organizations generally support the idea that managers perform similar roles. Although the functions approach represents the most useful way to describe the manager's job, Mintzberg's roles give additional insight into managers' work.

### Management Skills.

Managers need certain skills to perform the challenging duties and activities associated with being a manager. Robert L. Katz found through his research that managers need three essential skills.

- a. **Technical skills** are job-specific knowledge and techniques needed to proficiently perform specific tasks.
- b. **Human skills** involve the ability to work well with other people individually and in a group.
- c. **Conceptual skills** involve the ability to think and to conceptualize about abstract and complex situations.
- d. Other skills are listed in **Exhibit 1-7**. These skills will be highlighted in a feature at the end of each chapter.

Developing management skills is important for aspiring managers. These skills reflect a broad cross-section of the important managerial activities that are elements of the four management functions.



### MANAGERIAL CHALLENGES TODAY AND INTO THE FUTURE

Security threats, corporate ethics scandals, global economic and political uncertainties, and technological advancements should be discussed. While all managers will not have to manage under tragically demanding circumstances, *how* managers manage in today's workplace is changing. These issues are summarized in

**Focus on Technology.**

Cloud computing, social media, and robotics are all changing how things get done in the workplace. Managers need to get employees on board with new technology and ensure that they are comfortable with it, can use it, and understand how it improves their lives.

**Focus on Disruptive Innovation.**

Innovation is critical to today's organizations and managers. All organizations innovate; however, a problem for organizations is working to get all employees involved in the innovation process. Managers can respond to this need by creating a "team close," a time when all employees are scheduled to close the store and leave together. This helps create an attitude of working together and commitment.

**Focus on Social Media.**

The new frontier in communication is **social media**. Platforms such as Facebook and Twitter have moved beyond personal uses to work, and managers need to understand their power and dangers. In some cases, social media can enhance customer relationships, help better manage customers, and tap into talent. But, managers need to remember that social media is a tool that needs to be managed to be beneficial.

**Focus on Ethics.**

The long-term success of an organization depends on building trust with customers, clients, suppliers, and employees. Leaders need to take responsibility for setting high ethical standards and creating ethical workplaces

**Focus on Political Uncertainty.**

Today's political environment is rife with uncertainty, even in democratic societies that have a long history of relatively stable and predictable political environments. This new uncertainty poses challenges for managers that must learn to adapt to different regimes and significant changes.

**Focus on the Customer.**

With all of the technology available to managers, it is possible now more than ever to lose touch with customers. Face-to-face contact is being replaced by e-mails and text messages. In a service-oriented economy, like the United States, the need to deliver high quality customer service is the basis for competitiveness. As a result, many managers are re-discovering the importance of a customer-responsive organization where employees are friendly, courteous, accessible, and responsive to customer needs.

## WHY STUDY MANAGEMENT?

The importance of studying management in today's dynamic global environment can be explained by looking at the universality of management, the reality of work, and the rewards and challenges of being a manager.

### *The Universality of Management.*

Without a doubt, management is needed in all types and sizes of organizations, at all organizational levels, and in all organizational work areas throughout the world. We interact with organizations every day of our lives. Every product we use, every action we take, is provided by or affected by organizations. Well-managed organizations develop a loyal customer base, grow, and prosper.



## Rewards and Challenges of Being a Manager

### Challenges

- a. Being a manager is hard work and often involves more clerical duties than managerial responsibilities. Managers often must deal with a range of personalities, make do with limited resources, and work in chaotic and uncertain situations.
- b. Managers may have difficulty in effectively blending the knowledge, skills, ambitions, and experiences of a diverse group of employees.
- c. A manager's success typically is dependent on others' work performance.

### Rewards

- a. Managers have an opportunity to create a work environment in which organizational members can do their



work to the best of their ability and help the organization achieve its goals.

- b. Managers often receive recognition and status in the organization and in the larger community; influence organizational outcomes; and receive appropriate compensation.
- c. Knowing that their efforts, skills, and abilities are needed by the organization gives many managers great satisfaction.

| Rewards                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Challenges                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>• Create a work environment in which organizational members can work to the best of their ability</li><li>• Have opportunities to think creatively and use imagination</li><li>• Help others find meaning and fulfillment in work</li><li>• Support, coach, and nurture others</li><li>• Work with a variety of people</li><li>• Receive recognition and status in organization and community</li><li>• Play a role in influencing organizational outcomes</li><li>• Receive appropriate compensation in the form of salaries, bonuses, and stock options</li><li>• Good managers are needed by organizations</li></ul> | <ul style="list-style-type: none"><li>• Do hard work</li><li>• May have duties that are more clerical than managerial</li><li>• Have to deal with a variety of personalities</li><li>• Often have to make do with limited resources</li><li>• Motivate workers in chaotic and uncertain situations</li><li>• Blend knowledge, skills, ambitions, and and experiences of a diverse work group</li><li>• Success depends on others' work performance</li></ul> |

## DISCUSSION QUESTIONS

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*1. What are the three main roles performed by a manager?*

The three main roles fulfilled by managers within an organization include sharing their managerial skills and abilities in uncertain, complex, and chaotic times; getting things done in organizations; contributing to employee productivity and loyalty. The way employees are managed can affect the organization's financial performance, and managerial ability has been shown to be important in creating organizational value.

According to Mintzberg's managerial roles, the various functions of a manager can be clubbed under three broad categories— interpersonal roles refer to those that involve people and other duties that are ceremonial and symbolic in nature; informational roles refer to those roles that involve collecting, receiving, and disseminating information; and decisional roles that revolve around making choices. (LO: 1, Explain why managers are important to organizations, AACSB: Analytical thinking)

*2. Why are managers important to organizations? What are their key responsibilities in an organization?*

Organizations need individuals with managerial skills and abilities to identify major issues within the organization and create appropriate responses. They are critical to getting things done. Managers matter, as they are the single most important variable in employee productivity. Managers are also instrumental in creating relationships within the organization. The effectiveness of these relationships can have a positive or negative impact on the financial performance of the organization. The four key responsibilities of management include planning (defining goals, establishing strategies, and developing plans), organizing (arranging and structuring work), leading (working with and through people), and controlling (monitoring, comparing, and correcting work performance).

*3. Mintzberg suggested that specific actions or behaviors expected of and exhibited by a manager comprise of three specific roles. Briefly explain them.*

Mintzberg concluded that there are interpersonal, informational, and decisional roles that a manager does. The three interpersonal roles include figurehead, leader, and liaison. The informational roles involve collecting, receiving, and disseminating information. The three informational roles include monitor, disseminator, and spokesperson. Finally, the decisional roles entail making decisions or choices and include entrepreneur, disturbance handler, resource allocator, and negotiator.

4. *It is sometimes said that management is a tough and thankless job. Do you think this is true?*

At lower management levels, a manager may have to do repetitive activities and a great deal of clerical work. Much time is spent in meetings affected by other intrusions that often have an impact on effectiveness and productivity. However, in most cases, management is responsible for providing the kind of environment that inspires people to work to the best of their abilities and fulfill organizational goals

5. *Discuss how managers define organizational purpose. How would the managerial functions help in achieving that purpose?*

Using the four functions of planning, organizing, leading, and controlling, managers can achieve their organizational purpose. As managers engage in planning, they set goals, establish strategies to achieve those goals, and develop plans to integrate and coordinate activities within and without the organization. Managers also structure and arrange the work that employees do to accomplish goals. It is also a part of a manager's job to work with and through people to accomplish goals. When managers motivate, resolve conflicts, influence individuals and their teams, or deal with employees' behavioral issues, they are leading in an effective manner. The final management function is controlling, as managers also monitor and evaluate performance. Actual performances are compared to set goals. If that is not as desired, it is the manager's job to get work back on track. The process of monitoring, comparing, and correcting comprises the controlling function. These four functions are the tools that allow managers to define organizational purposes.

## Assignment 1

1-Kelly, a production supervisor, is responsible for ten employees who assemble components into a finished product. Kelly is a \_\_\_\_\_.

- A) top manager
- B) nonmanagerial employee
- C) middle manager
- D) first-line manager

2-Ben, a production plant manager, reports to Dan, a regional manager. Ben and Dan are \_\_\_\_\_.

- A) top managers
- B) middle managers
- C) supervisors
- D) first-line managers

3-Donald's ability to complete activities efficiently and effectively with and through other people is known as \_\_\_\_\_.

- A) management
- B) leadership
- C) entrepreneurship
- D) delegation

4-Which one of the following is an example of an efficient manufacturing technique?

- A) reducing the amount of scrap created in the process of making a product
- B) increasing the amount of time to manufacture products
- C) increasing product reject rates
- D) meeting customers' rigorous demand

5- Which one of the following is true concerning the three managerial skills?

- A) Technical skills tend to be most important for middle-level managers.
- B) Conceptual skills are most important for lower-level managers.
- C) Interpersonal skills remain equally important to all levels of management.
- D) Technical skills increase and conceptual skills decrease in importance as a manager climbs the organizational chart

6-The universality of management means that \_\_\_\_\_.

- A) all managers in all organizations perform the four management functions
- B) all managers in all organizations perform the same quantity of managerial functions
- C) all managers in all organizations perform managerial functions in similar ways
- D) any manager can work in any organization and perform any management function

## **Case one**

Mr. Mohamed Zein is a manager to an organization called XYZ specialized in production of spare parts of cars. He had the choice of running his father's business in developing houses but as a mechanical engineer he preferred to be in the automobile business. He started as a repair garage hiring a number of mechanics and supervisors but being a small business he managed the business alone.

Things went well and he decided to expand his business into production of spare parts. He chose the 10th of Ramadan for a place, built his plant (factory), ordered the machinery, and hired a number of managers to follow on the different operations; a manager for purchasing, for production, for finance and accounting, and gave them their responsibilities for the new organization.

He promised them that their work will be well evaluated through a good reporting system and through frequent meetings and that the outstanding performers in their jobs are going to be financially rewarded on a generous basis.

Mr. Mohamed had a broad dream and goal of being the best national provider of these spare parts, while increasing his profits to double what he was making from the garage in the period of the next two years. To achieve this, he intended to use the resources of land, capital, and human capital in the best possible way. He also was sure to produce the spare parts that were needed by the market and that were to be half the price of the imported spare parts, thus have a strong competitive edge.

To obtain finance for his project Mr. Mohamed had to have long meetings with the bank for a loan, he had to attend meetings with the representatives from the National Quality committee, to which he represented all the information about his intended project. To his four managers he distributed the budgets needed for their departments, offices, administrators, and everything they needed to run their functions. When the managers had disagreements on issues of the company, they came to him to resolve them, and when they needed any information he was surely the source.

### **Answer the following questions:**

- 1- Extract Mr. Mohamed's management functions described in the case above.
- 2- Describe Mr. Mohamed as being an efficient or effective manager
- 3- In the last paragraph Mr. Mohamed was described to play some of Mintzberg roles extract four of these roles.
- 4- Compare between the skills needed by Mr. Mohamed to the skills needed by the supervisors who worked in his Garage.

# Chapter 2

## Making Decisions

In this chapter, you will explore the importance of decision making to managers and learn how to make effective decisions.

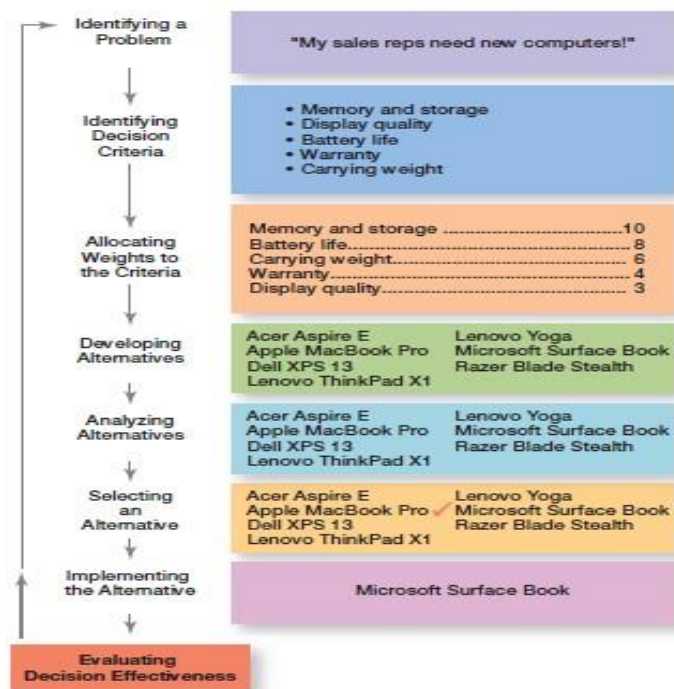
### LEARNING OBJECTIVES

1. Describe the eight steps in the decision-making process.
2. Explain the five approaches managers can use when making decisions.
3. Classify decisions and decision-making styles.
4. Describe how biases affect decision making.

### CHAPTER OUTLINE

#### THE DECISION-MAKING PROCESS

A **decision** is a choice made from two or more alternatives. The **decision-making process** is a set of eight steps that include identifying a problem, selecting an alternative, and evaluating the decision's effectiveness.



**Step 1: Identify a Problem.** A **problem** is a discrepancy between an existing and a desired condition. In order to identify a problem, you, as a manager, should recognize and understand the three characteristics of problems:

You must be aware of the problem. Be sure to identify the actual problem rather than a symptom of the problem. You must be under pressure to act. A true problem puts pressure on the manager to take action; a problem without pressure to act is a problem that can be postponed. You must have the authority or resources to act. When managers recognize a problem and are under pressure to take action but do not have the necessary resources, they usually feel that unrealistic demands are being put upon them.

[Example – Amanda is a sales manager whose reps need new laptop](#)

**Step 2: Identify Decision Criteria.** **Decision criteria** are criteria that define what is relevant in a decision.

[Example – Amanda decides that memory and storage capabilities, display quality, battery life, warranty, and carrying weight are the relevant criteria in her decision.](#)

**Step 3: Allocate Weights to the Criteria.** The criteria identified in Step 2 of the decision-making process do not have equal importance, so the decision maker must assign a weight to each of the items in order to give each item accurate priority in the decision. lists the criteria and weights for Amanda’s purchase decision for new computers.

[Example](#)

| Criterion          | Weight |
|--------------------|--------|
| Memory and storage | 10     |
| Battery life       | 8      |
| Carrying weight    | 6      |
| Warranty           | 4      |
| Display quality    | 3      |

**Step 4: Develop Alternatives.** The decision maker must now identify viable alternatives that could resolve the problem.

[Example](#)

| Laptop           | Memory and Storage | Battery Life | Carrying Weight | Warranty | Display Quality |
|------------------|--------------------|--------------|-----------------|----------|-----------------|
| Acer Aspire E    | 10                 | 3            | 10              | 8        | 5               |
| AppleMacBook Pro | 8                  | 5            | 7               | 10       | 10              |
| Dell XPS 13      | 8                  | 7            | 7               | 8        | 7               |
| Lenovo ThinkPad  | 7                  | 8            | 7               | 8        | 7               |

|                        |    |    |   |    |    |
|------------------------|----|----|---|----|----|
| Lenovo Yoga            | 8  | 3  | 6 | 10 | 8  |
| Microsoft Surface Book | 10 | 7  | 8 | 6  | 7  |
| Razer Blade Stealth    | 4  | 10 | 4 | 8  | 10 |

**Step 5: Analyze Alternatives.** Each of the alternatives must now be critically analyzed by evaluating it against the criteria established in Steps 2 and 3. the values that Amanda assigned to each of her alternatives for a new computer. reflects the weighting for each alternative.

**Step 6: Select an Alternative.** This step to select the best alternative from among those identified and assessed is critical. If criteria weights have been used, the decision maker simply selects the alternative that received the highest score in Step 5.

| Laptop                 | Memory and Storage | Battery Life | Carrying Weight | Warranty | Display Quality | Total |
|------------------------|--------------------|--------------|-----------------|----------|-----------------|-------|
| Acer Aspire E          | 100                | 24           | 60              | 32       | 15              | 231   |
| Apple MacBook Pro      | 80                 | 40           | 42              | 40       | 30              | 232   |
| Dell XPS 13            | 80                 | 56           | 42              | 32       | 21              | 231   |
| Lenovo ThinkPad        | 70                 | 64           | 42              | 32       | 21              | 229   |
| Lenovo Yoga            | 80                 | 24           | 36              | 40       | 24              | 204   |
| Microsoft Surface Book | 100                | 56           | 48              | 24       | 21              | 249   |
| Razer Blade Stealth    | 40                 | 80           | 24              | 32       | 30              | 206   |

**Step 7: Implement the Alternative.** The selected alternative must be implemented by effectively communicating the decision to the individuals who will be affected by it and winning their commitment to the decision.

**Step 8: Evaluate Decision Effectiveness.** This last step in the decision-making process assesses the result of the decision to determine whether or not the problem has been resolved.



## APPROACHES TO DECISION MAKING

Decision making fits into the four functions of management. How decisions are made, the types of problems and decisions faced by real-life managers, the conditions under which managers make decisions, and decision-making styles.

### Planning

- What are the organization's long-term objectives?
- What strategies will best achieve those objectives?
- What should the organization's short-term objectives be?
- How difficult should individual goals be?

### Organizing

- How many employees should I have report directly to me?
- How much centralization should there be in an organization?
- How should jobs be designed?
- When should the organization implement a different structure?

### Leading

- How do I handle employees that appear to be unmotivated?
- What is the most effective leadership style in a given situation?
- How will a specific change affect worker productivity?
- When is the right time to stimulate conflict?

### Controlling

- What activities in the organization need to be controlled?
- How should those activities be controlled?
- When is a performance deviation significant?
- What type of management information system should the organization have?

A. **Rationality** Managerial decision-making is assumed to be rational—that is, making choices that are consistent and value-maximizing within specified constraints. If a manager could be perfectly rational, he or she would be *completely* logical and objective.

1. Rational decision making assumes that the manager is making decisions in the best interests of the *organization*, not in his or her own interests.

2. The assumptions of rationality can be met, if the manager is faced with a simple problem in which (1) goals are clear and alternatives limited, (2) time pressures are minimal and the cost of finding and evaluating alternatives is low, (3) the organizational culture supports innovation and risk taking, and (4) outcomes are concrete and measurable.

**B. Bounded Rationality** In spite of these limits to perfect rationality, managers are expected to be rational as they make decisions. Because the *perfectly* rational model of decision making isn't realistic, managers tend to operate under assumptions of bounded rationality, which is decision-making behavior that is rational, but limited (bounded) by an individual's ability to process information.

- Under bounded rationality, managers make **satisficing** decisions, in which they accept solutions that are "good enough."
- We may satisfice due to time constraints that inhibit our ability to fully search out all possible alternatives.

**C. Intuition.** Managers also regularly use their intuition. Intuitive decision making is a subconscious process of making decisions based on experience and accumulated judgment.

- Making decisions based on gut feeling doesn't necessarily happen independently of rational analysis; the two complement each other.
- Although intuitive decision making will not replace the rational decision-making process, it does play an important role in managerial decision making.

**D. Evidence-Based Management.** The premise behind **evidence-based management (EBMgt)** is that any decision-making process is likely to be enhanced through the use of relevant and reliable evidence. EBMgt promotes the use of the best available evidence to improve management practice.

- The four essential elements of EBMgt are the decision maker's expertise and judgment; external evidence that's been evaluated by the decision maker; opinions, preferences, and values of those who have a stake in the decision; and relevant organizational (internal) factors such as context, circumstances, and organizational members.
- The strength or influence of each of these elements on a decision will vary with each decision.
- The key for managers is to recognize and understand the mindful, conscious choice as to which element(s) are most important and should be emphasized in making a decision.

**E. Crowdsourcing.** Crowdsourcing involves relying on a network of people outside the organization's traditional set of decision makers. Managers solicit input and ideas via the Internet.

- One example of crowdsourcing is Hershey's use of a competition to find a solution to keep their chocolates cool when shipping during the summer months.

- Crowdsourcing can be used to solicit input from customers, suppliers, any stakeholder group, or other external parties.
- Managers can get a diverse set of opinions to help them make better-informed decisions.

## TYPES OF DECISIONS AND DECISION-MAKING STYLES

**Types of Decisions.** Managers encounter different types of problems and use different types of decisions to resolve them.

**Structured problems** are straightforward, familiar, and easily defined. In dealing with structured problems, a manager may use a programmed decision, which is a repetitive decision that can be handled by a routine approach. Managers rely on three types of programmed decisions:

- **A procedure** is a series of interrelated sequential steps that can be used to respond to a structured problem.
- **A rule** is an explicit statement that tells managers what they can or cannot do.
- **A policy** is a guideline for making decisions.

**Unstructured problems** are problems that are new or unusual and for which information is ambiguous or incomplete. These problems are best handled by a **nonprogrammed decision** that is a unique decision that requires a custom-made solution.

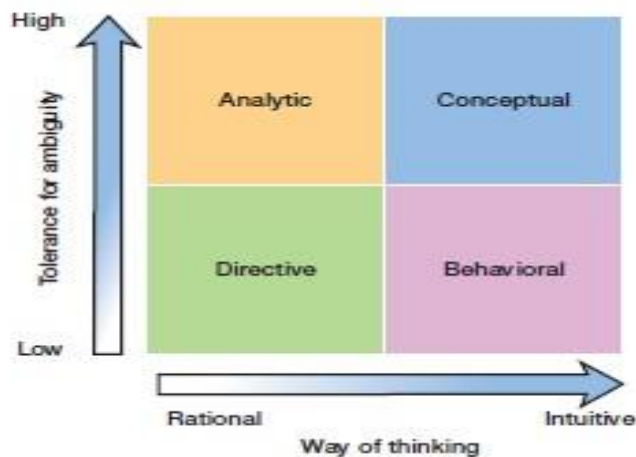
### Differences between programmed versus nonprogrammed decisions.

| Characteristic          | Programmed Decisions        | Nonprogrammed Decisions |
|-------------------------|-----------------------------|-------------------------|
| Type of problem         | Structured                  | Unstructured            |
| Managerial level        | Lower levels                | Upper levels            |
| Frequency               | Repetitive, routine         | New, unusual            |
| Information             | Readily available           | Ambiguous or incomplete |
| Goals                   | Clear, specific             | Vague                   |
| Time frame for solution | Short                       | Relatively long         |
| Solution relies on...   | Procedures, rules, policies | Judgment and creativity |

At higher levels in the organizational hierarchy, managers deal more often with difficult, unstructured problems and make nonprogrammed decisions in attempting to resolve these problems and challenges. Lower-level managers handle routine decisions themselves, using programmed decisions. They let upper-level managers handle unusual or difficult decisions.

### Decision-Making Styles.

Each person has an individual decision-making style. Research shows there are four different individual approaches to making decisions. People differ along two dimensions: way of thinking and tolerance for ambiguity



The matrix generates four types of decision makers which are:

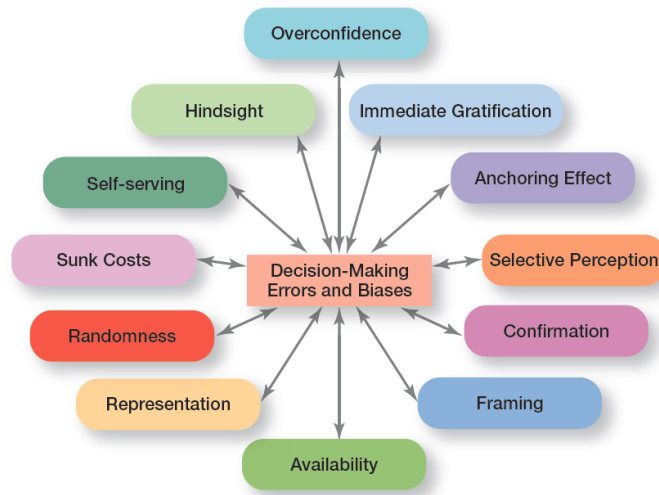
- Directive – people with a directive style have low tolerance for ambiguity and seek rationality. They are efficient and logical but may be prone to making decisions too fast with limited information.
- Analytic – analytic decision makers are more comfortable with ambiguity relative to directive styles. They are more willing to adapt to change or new situations.
- Conceptual – conceptual decision makers have a broad scope and consider many alternatives. They are good at finding creative solutions to problems.
- Behavioral – behavioral decision makers work well with others. They tend to avoid conflict and seek acceptance from others. This tendency makes them receptive to suggestions from others.

While each of the four categories is distinct, people typically display characteristics from more than one style. Most business students score high on the analytic style.

## DECISION-MAKING BIASES AND ERRORS

Managers use different styles and “rules of thumb” (**heuristics**) to simplify their decision making.

### *Common decision-making biases*



- *Overconfidence bias* occurs when decision makers tend to think that they know more than they do or hold unrealistically positive views of themselves and their performance.
- *Immediate gratification bias* describes decision makers who tend to want immediate rewards and avoid immediate costs.
- The *anchoring effect* describes when decision makers fixate on initial information as a starting point and then, once set, fail to adequately adjust for subsequent information.
- *Selective perception bias* occurs when decision makers selectively organize and interpret events based on their biased perceptions.
- *Confirmation bias* occurs when decision makers seek out information that reaffirms their past choices and discount information that contradicts their past judgments.
- *Framing bias* occurs when decision makers select and highlight certain aspects of a situation while excluding others.
- *Availability bias* is seen when decision makers tend to remember events that are the most recent and vivid in their memory.
- Decision makers who show *representation bias* assess the likelihood of an event based on how closely it resembles other events or sets of events.

- *Randomness bias* describes the effect when decision makers try to create meaning out of random events.
  - The *sunk costs error* is when a decision maker forgets that current choices cannot correct the past. Instead of ignoring sunk costs, the decision maker cannot forget them. In assessing choices, the individual fixates on past expenditures rather than on future consequences.
  - *Self-serving bias* is exhibited by decision makers who are quick to take credit for their successes and blame failure on outside factors.
  - *Hindsight bias* is the tendency for decision makers to falsely believe, once the outcome is known, that they would have accurately predicted the outcome.
- Managers need to be aware of these decision-making biases so they can avoid them. Research shows that training can help managers learn to recognize situations where these biases occur.

**(For BI Students Only)**

## **CUTTING-EDGE APPROACHES FOR IMPROVING DECISION MAKING**

Today's business world revolves around making decisions when faced with rapid technological change. However, some of the advances in technology can help managers make better decisions. In this section we will review some of those cutting-edge approaches to decision making that are attributed to changes in technology.

### **A. Design Thinking and Decision Making.**

**Design thinking** has been described as “approaching management problems as designers approach design problems.” It can be useful when identifying problems and when identifying and evaluating alternatives. Design thinking involves asking the “what if” questions and using observation and inquiry skills instead of relying solely on rational analysis.

### **B. Big Data and Artificial Intelligence.**

**Big data** is the vast amount of quantifiable information that can be analyzed by highly sophisticated data processing. One IT expert described big data with “3V’s: high volume, high velocity, and/or high variety information assets.” With this type of data at hand, decision makers have very powerful tools to help them make decisions. Big data has opened the door to the widespread use of artificial intelligence and other powerful decision-making tools.

- **Artificial Intelligence** (AI) harnesses computing power to replicate the decision-making functions of humans. AI now has the ability to learn and solve complex problems such as the technology used in self-driving autos.
- **Machine learning** is a method of data analysis facilitated by AI. Machine learning involves pattern identification, learning from those patterns, and then using that information to make decisions with little or no human assistance.
- **Deep learning** is a subset of machine learning. Deep learning simulates functions of the human brain by using algorithms to create a hierarchical level of artificial neural networks. This network of connected nodes processes information in a nonlinear fashion and has been used to improve the identification of skin cancers.
- **Analytics** is the use of mathematics, statistics, predictive modeling, and machine learning to find meaningful patterns in data sets. Analytics are now being used in professional sports to help make decisions about whether to kick a field goal or go for it on fourth down. There are numerous other applications.

## DISCUSSION QUESTIONS

*1. Explain how good decision-making is a skill that can be learned and improved.*

There are eight steps to the decision-making process: (1) identify problem; (2) identify decision criteria; (3) weigh the criteria; (4) develop alternatives; (5) analyze alternatives; (6) select alternatives; (7) implement alternatives; and (8) evaluate decision effectiveness. These steps can be learned and practiced often to improve decision-making skills. (LO: 1, Describe the eight steps in the decision-making process, AACSB: Analytical thinking)

*2. Where in the eight-step decision-making process are the likely problem areas for managers?*

Problems may occur at every stage of the decision-making process. For example, Step 1 (identifying a problem) appears simple; however, it is not easy to diagnose a problem. Step 4 (developing alternatives) will also be a likely problem area, as possible alternatives are sometimes restrained by available resources as well as the creativity of managers themselves. Step 5 (analyzing alternatives) can be affected by the inherent biases of managers. Step 7 (implementing the alternative) can also become a problem area for managers, especially if those who are responsible for implementing a decision do not believe in it because they feel that management has forced the decision onto them. Furthermore, in a dynamic environment, managers must constantly monitor the situation, in case there are changes that require a re-evaluation of the decision.

*3. What role does intuition play in decision-making? Discuss.*

Intuitive decision-making is the process of making decisions based on experience, feelings, and accumulated judgement. Intuitive decision-making can complement rational and bounded rational decision-making by speeding up the decision-making process due

to past experience. Additionally, managers who experienced intense feelings and emotions when making decisions achieved higher decision-making performance, especially when they understood their feelings when making those decisions

*4. Is satisficing a desirable way of making managerial decisions?*

Managers are limited by their ability to process information. Because they cannot analyze all information on all alternatives (and some alternatives may not even reveal themselves until later), managers satisfice, rather than maximize. That is, they accept solutions that are “good enough.”

*5. What should a good manager do if it becomes apparent that a decision that has already been made is clearly not working or solving the situation?*

For effective decision-making, the manager needs to know when to undo a decision. Decision-makers will often block negative information in order to hide a bad decision. They become too attached to the decision they have made and refuse to recognize when it is time to move on. The error of sunk cost can occur when decision-makers forget that current choices can't correct the past. They incorrectly fixate on past expenditures of time, money, or effort in assessing choices rather than on future consequences. Instead of ignoring sunk costs, they can't forget them. This could be dealt with if the work team is structured in a way that there is a second decision maker or co-leader who can then step in and who was not part of the original decision. This can be helpful because that decision-maker is not hampered by sunk costs / commitment to the original decision.



## Assignment 2

1. Belinda wants to introduce a new model to the product line. Three models are being developed. Belinda can choose only one. She has decided to focus on target market size, production costs, and net profits. These are Belinda's \_\_\_\_\_.

- A) alternatives
- B) criterion weights
- C) decision criteria
- D) problems

2. Bryan must select a new supplier for lighting fixtures for his company's mobile homes. He has decided quality is more important than price but price is more important than lead times. Bryan will use these priorities to \_\_\_\_\_.

- A) analyze alternatives
- B) set his decision criteria
- C) allocate weights to the criteria
- D) develop alternatives

3. When managers make decisions that are rational but limited by their ability to process the information, they are following the concept of \_\_\_\_\_.

- A) cognitive decision making
- B) bounded rationality
- C) escalation of commitment
- D) intuitive decision making

4. Farrell has a knack for selecting candidates who become very successful workers. When asked how he does it, he answered that he "listened to his gut." Farrell is really \_\_\_\_\_.

- A) using his intuition
- B) using bounded rationality
- C) using perfect rationality
- D) satisficing

5. Relying on a network of individuals that are outside of organization's traditional set of decision makers is known as \_\_\_\_\_.

- A) idea seeking
- B) externalizing
- C) outsourcing
- D) crowdsourcing

## Case 2

In his course to realize his dream of the spare parts' plant Mr. Mohamed had to make many decisions. The first and most difficult was where to buy the machinery for the plant. He had to take in mind some points as to the limited loan from the bank, the experience of the workers he hired, and finally that he had to be in operation in three months. Money and time were the two most important factors; training the workers can be achieved later, he thought. He contacted eight of the major industrial providers and got offers with their products.

Mr. Mohamed had finally taken the decision and chosen the provider. They might not have been the best among the other eight companies, but they were the first to reply and agree to provide within the given time range. Their price was reasonable too. The others were taking longer to reply and he had to start operation.

After the machines were installed and operating, a problem was met with one of the machines that stopped working. It was found that the oil level of that machine was less than expected. The maintenance supervisor immediately ordered an oil supply from the stores, applied it and the machine was working again. In the same week a committee from the health and safety department visited the plant and reported that the floor area where the machines operated was slippery and dangerous for the workers who might have accidents, and also that the machine sound was too high, something that might affect their hearing levels. The committee ordered that the plant should be shut down until the two problems were solved.

### **Answer the following questions**

- 1- From your understanding to the decision-making process how many steps were defined in the above case? Name the steps
- 2- What do you expect the following steps that he should take to complete this issue?
- 3- Describe Mr. Mohamed's decision from the rationality point of view.
- 5- Imagine a situation where Mr. Mohamed might be using the concept of escalation of commitment in his decision making.

## Chapter 3

### Influence of the External Environment and the Organization's Culture

The components of an organization's culture are as complex as the different aspects of an individual's personality. Today's managers must understand how the force of an organization's internal and external environments may influence, and sometimes constrain, its productivity.

#### LEARNING OBJECTIVES

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1. Contrast the actions of managers according to the omnipotent and symbolic views.
2. Describe the constraints and challenges facing managers in today's external environment.
3. Discuss the characteristics and importance of organizational culture.

#### CHAPTER OUTLINE

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##### INTRODUCTION

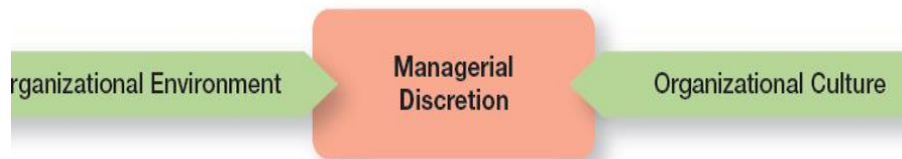
Managers must realize that organizational culture and organizational environment have important implications for the way an organization is managed. Both organizational culture and external forces that can shape an organization are explored in order to gain a better understanding of the complexities presented by internal and external environments.

##### THE MANAGER: OMNIPOTENT OR SYMBOLIC?

Two perspectives concerning the role that managers play in an organization's success or failure have been proposed.

- A. The Omnipotent View.** This maintains that managers are directly responsible for the success or failure of an organization. This view of managers as being omnipotent is consistent with the stereotypical picture of the "take-charge" executive who can overcome any obstacle in carrying out the organization's objectives. When organizations perform poorly, someone must be held accountable. According to the omnipotent view, that "someone" is the manager.

**B. The Symbolic View.** This view of management upholds the view that much of an organization's success or failure is due to external forces outside managers' control. The influence that managers do have is seen mainly as a symbolic outcome. Organizational results are influenced by factors outside of the control of managers, including the economy, customers, governmental policies, competitors' actions, the state of the particular industry, the control of proprietary technology, and decisions made by previous managers in the organization. The manager's role is to create meaning out of randomness, confusion, and ambiguity. According to the symbolic view, the actual part that management plays in the success or failure of an organization is minimal. Reality suggests a synthesis. Managers are neither helpless nor all powerful. Instead, the more logical approach is to see the manager as operating within constraints imposed by the organization's culture and environment.



## THE EXTERNAL ENVIRONMENT

The impact of the external environment on a manager's actions and behaviors cannot be overemphasized. Forces in the external environment play a major role in shaping managers' endeavors.

### Defining the Environment and Environmental Uncertainty.

The **environment** consists of those factors and forces outside the organization's control that have the potential to affect the organization's performance. Not all firms operate in the same environment. Environments differ based on their degree of environmental uncertainty.

**Environmental uncertainty** refers to the degree of change and complexity in an organization's environment. The Environmental Uncertainty Matrix shows these two aspects.

|                      |         | Degree of Change                                                                                                                                                                                                        |                                                                                                                                                                                                                           |
|----------------------|---------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                      |         | Stable                                                                                                                                                                                                                  | Dynamic                                                                                                                                                                                                                   |
| Degree of Complexity | Simple  | <b>Cell 1</b><br>Stable and predictable environment<br>Few components in environment<br>Components are somewhat similar and remain basically the same<br>Minimal need for sophisticated knowledge of components         | <b>Cell 2</b><br>Dynamic and unpredictable environment<br>Few components in environment<br>Components are somewhat similar but are continually changing<br>Minimal need for sophisticated knowledge of components         |
|                      | Complex | <b>Cell 3</b><br>Stable and predictable environment<br>Many components in environment<br>Components are not similar to one another and remain basically the same<br>High need for sophisticated knowledge of components | <b>Cell 4</b><br>Dynamic and unpredictable environment<br>Many components in environment<br>Components are not similar to one another and are continually changing<br>High need for sophisticated knowledge of components |

Degree of change is characterized as being dynamic or stable. In a dynamic environment, components of the environment change frequently. If change is minimal, the environment is called a stable environment. The degree of **environmental complexity** is the number of components in an organization's environment and the extent of an organization's knowledge about those components. If the number of components and the need for sophisticated knowledge is minimal, the environment is classified as simple. If a number of dissimilar components and a high need for sophisticated knowledge exist, the environment is complex. Because uncertainty is a threat to organizational effectiveness, managers try to minimize environmental uncertainty.

### Monitoring the General Environment.

The general environment includes everything outside the organization. The general environment can be divided into several components as These components include economic, political/legal, sociocultural, demographic, technological, and global conditions.



1. *Economic* conditions include factors such as interest rates, inflation, changes in disposable income, and others.
2. *Political/legal* conditions include the general political stability of countries in which an organization does business and the specific attitudes that elected officials have toward business. Federal, state, and local governments can influence what organizations can and cannot do.
3. *Sociocultural* conditions include the changing expectations of society. Societal values, customs, and tastes can change, and managers must be aware of these changes.
4. *Demographic* conditions include the physical characteristics of a population (e.g., gender, age, level of education, geographic location, income, composition of family) which can change over time and managers must adapt to these changes.
5. *Technological* conditions include any scientific or industrial innovation. This component has changed more rapidly than any other element of the general environment.
6. *Global* factors include global competitors and global consumer markets.

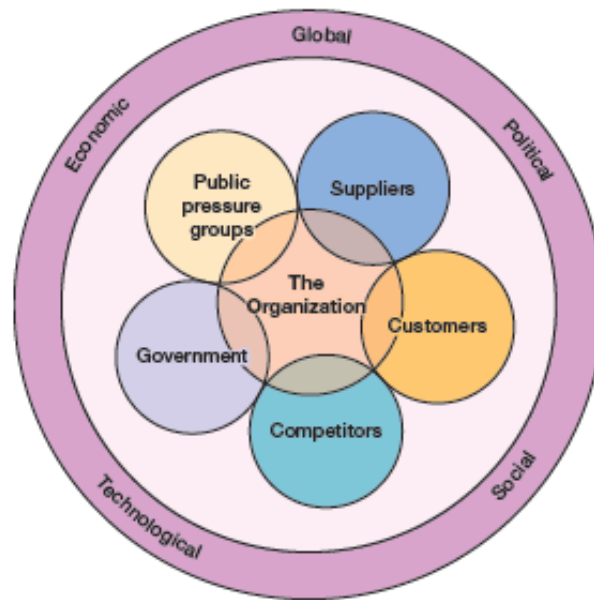
### **The Specific Environment.**

MOST of management's attention will focus on the organization's specific environment. The specific environment consists of constituencies or stakeholders that can positively or negatively influence the organization's effectiveness. It can include suppliers, customers, competitors, government agencies, and special interest groups.

1. *Suppliers* – Suppliers include any entity that provides the organization with labor, components, raw materials, or equipment. Managers need to ensure a steady flow of these resources at the lowest price possible.
2. *Customers* – All organizations exist to satisfy customers. However, customers can be fickle, and managers need to be attuned to changing needs and preferences.
3. *Competitors* – Every organization faces competition; even non-profits compete for donor dollars. Managers need to pay attention to any changes the competition introduces to gain customers or market share.
4. *Government* – Federal, state, and local governments influence what organizations can and cannot do. Legislation can change organizational demands or requirements overnight, so managers need to be aware of these changes and be ready to respond.
5. *Pressure Groups* – Special interest groups often influence organizations. Protestors often disrupt business operations or force firms to make changes. Managers must be prepared to respond to these actions.

### **Managing the Environment.**

Organizations do not operate in a vacuum and must be prepared to respond to the overall environment. A manager's job is to operate within these environmental constraints and gain as much control as possible over the organization's environment.



## ORGANIZATIONAL CULTURE: CONSTRAINTS AND CHALLENGES

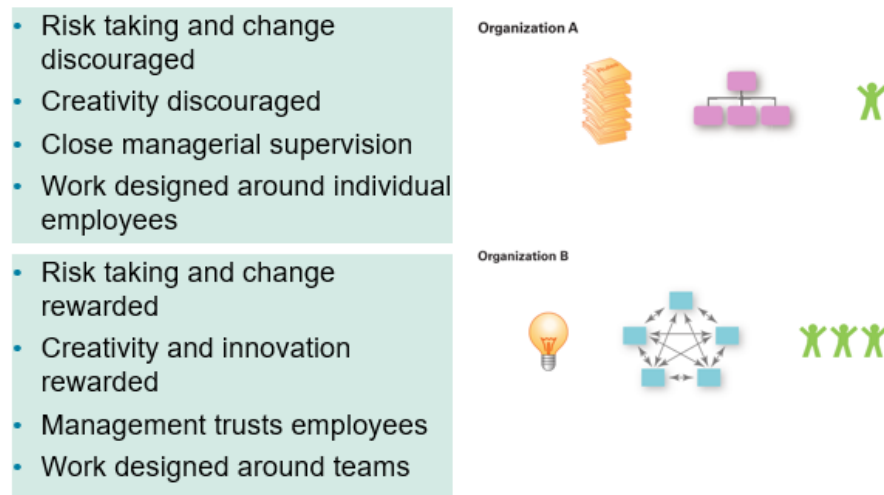
Just as individuals have a personality, so, too, do organizations. We refer to an organization's personality as its culture.

**What is Organizational Culture?** **Organizational culture** is the shared values, principles, traditions, and ways of doing things that influence the way organizational members act. This definition implies:

Individuals *perceive* organizational culture based on what they see, hear, or experience within the organization. Organizational culture is *shared* by individuals within the organization. Organizational culture is a *descriptive* term. It describes how members perceive the culture, rather than evaluates. Six dimensions of an organization's culture have been proposed.

- Adaptability** (the degree to which employees are encouraged to be innovative and take risks)
- Attention to detail** (the degree to which employees are expected to exhibit precision, analysis, and attention to detail)
- Outcome orientation** (the degree to which managers focus on results or outcomes rather than on the techniques and processes used to achieve those outcomes)
- People orientation** (the degree to which management decisions take into consideration the effect on people within the organization)
- Team orientation** (the degree to which work activities are organized around teams rather than individuals)

- f. **Integrity** (the degree to which people exhibit honesty and high ethical principles in their work)



### Strong Cultures.

**Strong cultures** are found in organizations where key values are intensely held and widely shared. Whether a company's culture is strong, weak, or somewhere in between depends on organizational factors such as size, age, employee turnover rate, and intensity of original culture. A culture has increasing impact on what managers do as the culture becomes stronger. Most organizations have moderate-to-strong cultures. In these organizations, high agreement exists about what is important and what defines "good" employee behavior, for example. Studies of organizational culture have yielded various results. One study found that employees in firms with strong cultures were more committed to their firm than were employees in firms with weak cultures. Organizations with strong cultures also used their recruitment efforts and socialization practices to build employee commitment. An increasing body of research suggests that strong cultures are associated with high organizational performance.

| Strong Cultures                                                 | Weak Cultures                                                |
|-----------------------------------------------------------------|--------------------------------------------------------------|
| Values widely shared                                            | Values limited to a few people – usually top management      |
| Culture conveys consistent messages about what's important      | Culture sends contradictory messages about what's important  |
| Most employees can tell stories about company history or heroes | Employees have little knowledge of company history or heroes |



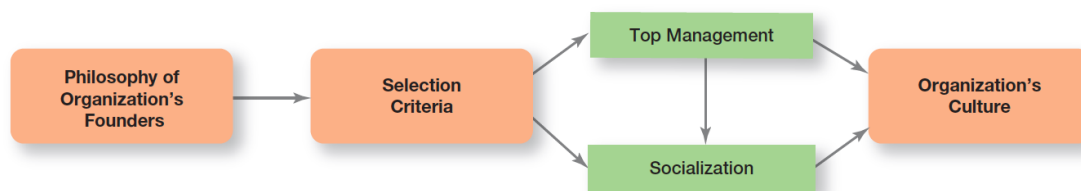
Employees strongly identify with culture  
Strong connection between shared values and behaviors

Employees have little identification with culture  
Little connection between shared values and behaviors

### Where Culture Comes From and How it Continues.

The original source of an organization's culture is usually a reflection of the vision or mission of the organization's founders. The culture is a result of the interaction between the founders' biases and assumptions and what the first employees subsequently learned from their own experiences. An organization's culture continues when:

- Once a culture is in place, practices help to maintain it.
- Hiring practices reflect the culture in terms of "fit."
- Actions of top executives help to maintain the culture.
- New employees learn the organization's way of doing things through **socialization**—the process that helps employees adapt to the organization's culture.



### How Employees Learn Culture.

Culture is transmitted principally through stories, rituals, material symbols, and language.

- **Stories** are one way that employees learn the culture. These stories typically involve a narrative of significant events or people.
- **Rituals** are repetitive sequences of activities that express and reinforce the key values of the organization, which goals are most important, and which people are important or expendable.
- The use of **material artifacts and symbols** is another way in which employees learn the culture, learn the degree of equality desired by top management, discover which employees are most important, and learn the kinds of behavior that are expected and appropriate.
- **Language** is often used to identify members of a culture. Learning this language indicates members' willingness to accept and preserve the culture. This special lingo acts as a common denominator to unite members of a particular culture.

### Reading an Organization's Culture: Find One That is a Right Fit for You

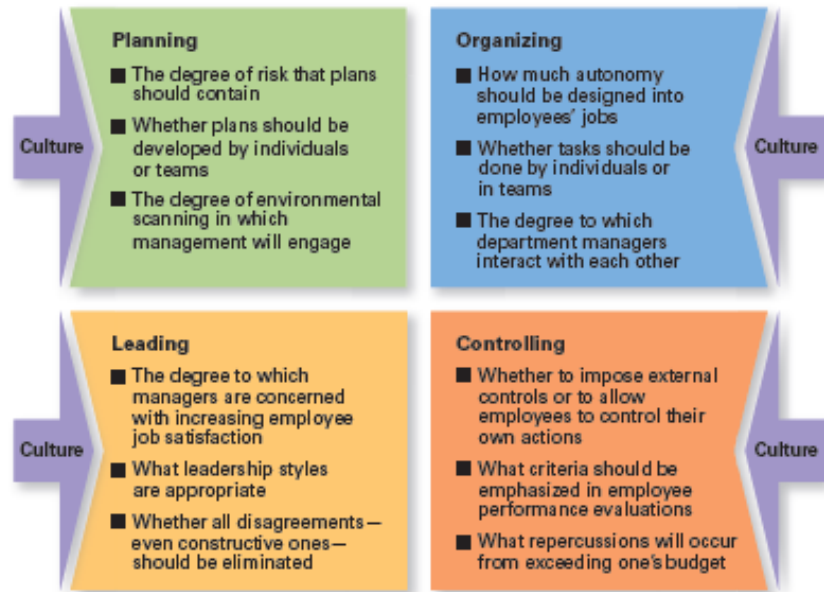
Wouldn't it be nice to one day find a job you enjoy in an organization you're excited to go to every day (or at least most days!)? Organizational cultures vary and finding one that's a good fit with you is important for your satisfaction at work. Here's a list of things you can do to "read" a culture:

1. **Do background check.** Are the company's values and mission statement listed? What do current news items tell you about the company? You might also talk with members of trade organizations to which the organization's employees belong.
2. **Observe the physical surroundings and corporate symbols.** What do logos, posters, pictures, style of dress, length of hair, and other factors tell you about the company? Could you see yourself working there and enjoying it?
3. **How would you characterize the people you meet?** Are they formal? Casual? Serious? Jovial? Open? What do these things say about the organization's values?
4. **Look at the organization's HR manual (if you can).** Are there formal rules and regulations? Could you see yourself working within these parameters?
5. **Ask questions of the people you meet.** How is job success defined/determined? What rituals are important, and what events get commemorated? What do these things say about what the organization values?

When you apply for a job, much about the organization's culture is right there for you to see. Know the clues to look for and decide if it's for you!

**How Culture Affects Managers.** An organization's culture is important because it establishes constraints on what managers can do.

1. The link between corporate values and managerial behavior is fairly straightforward.
2. The culture conveys to managers what is appropriate behavior.
3. An organization's culture, particularly a strong one, constrains a manager's decision-making options in all managerial functions.



## DISCUSSION QUESTIONS

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1. *Is there a real difference between an omnipotent manager and a “good” manager? Explain.*

A good manager should anticipate changes, exploit opportunities, correct poor performance, and lead an organization. An omnipotent manager represents the stereotypical image of the take-charge business executive who overcomes all obstacles and ensures that an organization achieves its goals.

2. *What does the term external environment mean? Which external environmental factors are more important for a manager to pay attention to?*

The term “external environment” refers to factors and forces outside the organization that affect its performance. It includes several different components, namely the political/legal, demographic, economic, sociocultural, technological, and global components. A manager must pay attention to all these factors in general; however, some external factors will play a bigger role in a manager’s decision-making process, depending on the industry in which he or she is working. For example, in the apparel industry, a manager is expected to pay more attention to economic and socio-cultural components, whereas a bank manager will be more concerned with economic and political/legal components, compared to other external forces at play. It is also important to understand that many managers tend to focus more on apparent factors like political and economic changes and miss less apparent factors that are slower-moving, but are yet very powerful forces like technological change and demographics.

3. *Would a manager’s job be fundamentally different if the same person were to work in different companies in the same industry?*

No, a manager’s job will be fundamentally the same, if the same person were to work in different companies in the same industry. For example, a bank manager would have the same broad roles across banks. However, it is important to consider that managers operate with constraints—organizational environments and organizational cultures [Exhibit 3-1]. Yet, in spite of these constraints, managers are not powerless. There remains an area of discretion in which managers can exert a significant amount of influence on an organization’s performance—an area in which good managers differentiate themselves from poor ones.

4. *How is a shareholder different from a stakeholder? If a stakeholder can hold no shares or any ownership in the organization, why then would the managers care about stakeholder relationships?*

Stakeholders are any constituencies in an organization's environment affected by its decisions and actions. Managing stakeholder relationships can lead to desirable organizational outcomes, such as improved predictability of environmental changes, more successful innovations, greater organizational flexibility to reduce the impact of change, and greater trust among stakeholders. Moreover, because the organization depends on these external groups as a source of inputs and outlets of production (services and goods), managers need to consider their interests as they make decisions

*5. Distinguish between people and team orientation as dimensions of organizational culture.*

People orientation is the degree to which management decisions consider the effects of people in the organization. On the other hand, team orientation is the degree to which work is organized around teams rather than individuals.

*6. Why is strong culture likely to have a greater influence on employees compared to weak culture?*

Strong cultures—those in which the key values of an organization are deeply held and widely shared—have a greater influence on employees than weaker cultures. This is because the more the employees accept the organization's key values and the greater their commitment to these values, the stronger the culture becomes. This in turn becomes a means for managers to plan, lead, organize, and control.

*7. What are the four common ways an organization communicates its culture to employees?*

An organization communicates its culture through stories, rituals, material artifacts and symbols, and language.

### Assignment 3

1. The dominant view in management theory suggests that \_\_\_\_\_.  
A) an organization's success or failure is due to external forces outside managers' control  
B) managers' roles are increasingly becoming peripheral and staff manage their own areas of expertise  
C) managers are directly responsible for an organization's success or failure  
D) managers cannot significantly affect an organization's performance because they are constrained by the abilities of their employees
  
2. Wendell notices that the company's top executives share a belief that managers are directly responsible for the organization's success or failure. This belief reflects a(n) \_\_\_\_\_ view of management.  
A) traditional  
B) omnipotent  
C) reflective  
D) symbolic
  
3. Internal constraints that influence managers' decisions and actions come from \_\_\_\_\_.  
A) the attitudes of customers  
B) the culture of the organization  
C) the prevailing political conditions  
D) the fluctuations in the stock market
  
4. Which of the following factors is a demographic component of an organization's external environment?  
A) lifestyles and behavior  
B) political stability  
C) geographic location  
D) stock market fluctuations
  
5. The Metropolis News has experienced a decline in the number of subscriptions to its printed newspaper over the last 5 years. It seems people prefer news feeds sent to their smartphones rather than a printed paper delivered to their homes. Which component in the external environment does this change represent?  
A) economic  
B) psychological  
C) demographic  
D) sociocultural

### **Case 3**

Mr. Mohamed is a manager that believes that success in management is bound to external forces beyond the manager's power of control. Examples of these are the economy, political pressure of the government, state of the competitors, and of course the stakeholders. On these grounds he was convinced that a manager should be doing his ultimate best, but this does not necessarily ensure success.

Within his first plant he wanted to implement a unique culture that he believed will be a great reason behind his success. He encouraged his staff to suggest and implement change, welcomed any new idea for trial even with a degree of risk, and cared for the welfare of his people alongside.

Unfortunately this spirit did not prevail in the Alexandria branch as the other three managers did not believe in the same ideas, plus they were distant from the 10<sup>th</sup> of Ramadan culture, so they were not influenced by it.

Mr. Adnan being the loving character with high affiliation need, only cared for keeping the level of production to a constant and was so thankful for that. He feared any changes in the process or the relationships and wanted things to be just the same. He conveyed this to his department. Another cultural difference was how Mr. Bassel ran his department, always injecting a sense of competition and pushing his staff to compete and score higher than others at any cost. For any observer the 10<sup>th</sup> of Ramadan culture was the stronger.

#### **Answer the following Questions**

- 1- What is meant by a strong culture? Compare a strong to a weak culture
- 2- Identify the differences between the cultural dimensions used in the 10<sup>th</sup> of Ramadan to those used in Alexandria
- 3- In your opinion where do the employees the 10<sup>th</sup> of Ramadan learn culture? How is it maintained?
- 4- Which view of management do you attribute Mr. Mohamed: Symbolic or Omnipotent and why?
- 5- Who are meant by the stakeholders? Apply to this business.

## Chapter 8

### Foundations of Planning

The first management function is planning. As Planning is important because it establishes what an organization is doing. We'll look at how managers set goals as well as how they establish plans.

#### LEARNING OBJECTIVES

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1. Define the nature and purposes of planning.
2. Classify the types of plans organizations might use.
3. Identify the key contingency factors in planning.
4. Compare and contrast approaches to objective setting.
5. Discuss contemporary issues in planning.

#### CHAPTER OUTLINE

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##### INTRODUCTION

Planning is one of the four functions of management. Fundamental information about managerial planning is presented in this chapter; the text discusses the nature and purposes of planning, strategies for effective planning, and contemporary planning issues.

##### THE WHAT AND WHY OF PLANNING

**What is Planning?** Planning involves defining the organization's goals, establishing an overall strategy for achieving these goals, and developing plans for organizational work activities. The term *planning* as used in this chapter refers to *formal* planning.

**Why Do Managers Plan?** Planning serves a number of significant purposes.

- Planning gives direction to managers and nonmanagers of an organization.
- Planning reduces uncertainty.
- Planning minimizes waste and redundancy.
- Planning establishes goals or standards used in controlling.

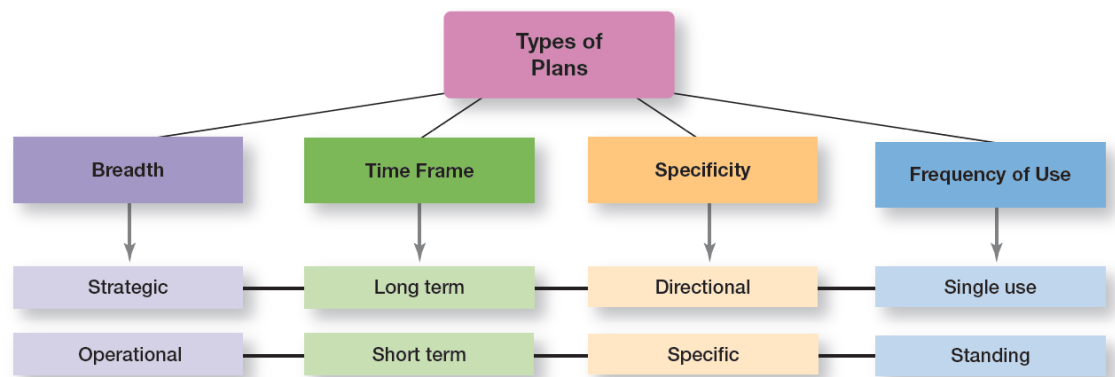
**Planning and Performance.** Although organizations that use formal planning do not *always* outperform those that do not plan, most studies show positive relationships between planning and performance. Effective planning and



implementation play a greater part in high performance than does the amount of planning done. Studies have shown that when formal planning has *not* led to higher performance, the external environment is often the reason.

## TYPES OF PLANS

Planning is often called the primary management function because it establishes the basis for all other functions. Planning involves two important elements: goals and plans. Plans are documents that outline how goals are going to be met. They can be described by their breadth, time frame, specificity, and frequency of use.



### A. Strategic Versus Operational Plans.

*Breadth: Strategic versus operational plans.* **Strategic plans** (long-term plans) are plans that apply to the entire organization, establish the organization's overall goals, and seek to position the organization in terms of its environment. **Operational plans** (short-term plans) are plans that specify the details of how the overall goals are to be achieved.

### B. Short-Term Versus Long-Term Plans.

*Time frame: Short-term versus long-term plans.* **Short-term plans** are plans that cover one year or less. **Intermediate-term plans** cover from one to five years and **long-term plans** are plans with a time frame beyond five years.

### C. Specific Versus Directional Plans.

*Specificity: Specific versus directional plans.* **Specific plans** are plans that are clearly defined and leave no room for interpretation. **Directional plans** are flexible plans that set out general guidelines. **Exhibit 8-2** shows an example of specific versus directional plans.

**Exhibit 8-2**  
Specific versus directional plans



**D. Single-Use Versus Standing Plans.**

*Frequency of use: Single-use versus standing plans.* A **single-use plan** is a one-time plan specifically designed to meet the needs of a unique situation. **Standing plans** are ongoing plans that provide guidance for activities performed repeatedly.

**CONTINGENCY FACTORS IN PLANNING**

Different situations call for different types of plans. Therefore, in this section we identify three contingency factors in planning.



**A. Level in the Organization.**

The relationship between managerial level in an organization and the type of planning that is conducted. As managers rise up through the ranks, their planning role shifts to strategic planning.

**B. Degree of Environmental Uncertainty.**

The greater the degree of environmental uncertainty, the more plans should focus on directional planning and a short-term time horizon.

C. **Length of Future Commitments.**

The final contingency factor is the commitment concept. The more that current plans affect future commitments, the longer the time frame for which management should plan.

**OBJECTIVES: THE FOUNDATION OF PLANNING**

Objectives are goals. We use the term interchangeably. They refer to desired outcomes for individuals, groups, or the entire organization.

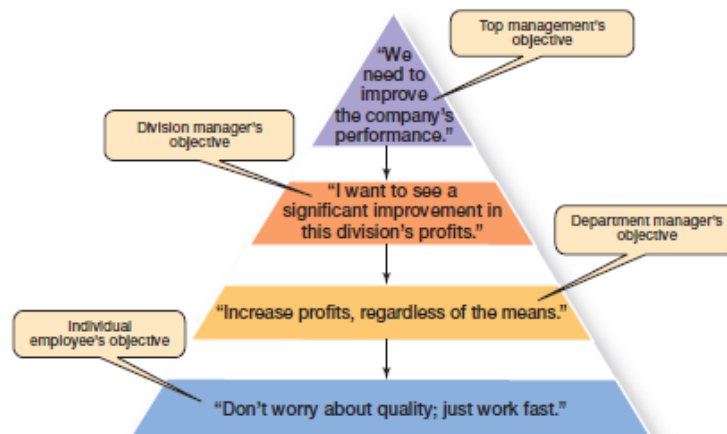
**Stated Versus Real Objectives.**

Stated objectives are official statements of what the organization says and what it wants the public to believe. Real objectives are what an organization actually pursues, as defined by the actions of its members. Stated and real objectives can differ, so managers need to keep that in mind.

**Traditional Objective-Setting.**

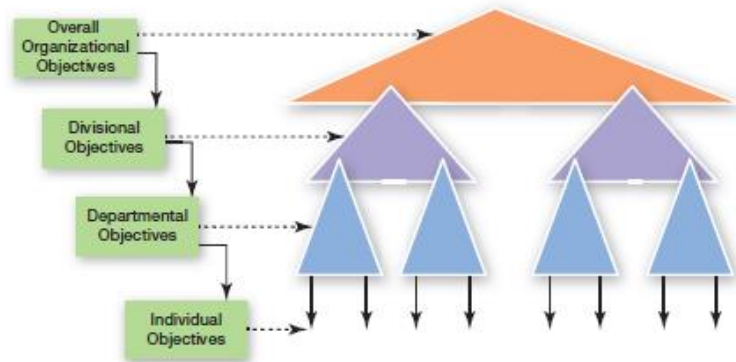
**Traditional objective-setting** is an approach to setting objectives in which objectives are set at the top level of the organization and then broken into subgoals for each level of the organization.

1. Traditional goal-setting assumes that top managers know what is best because of their ability to see the “big picture.” Employees are to work to meet the goals for their particular area of responsibility.
2. This traditional approach requires that goals must be made more specific as they flow down to lower levels in the organization. In striving to achieve specificity, however, objectives sometimes lose clarity and unity with goals set at a higher level in the organization



3. When the hierarchy of organizational goals is clearly defined, it forms an integrated **means-end chain**—an integrated network of goals in which the accomplishment of goals at one level serves as the means for achieving the goals, or ends, at the next level.

**Management by objectives (MBO).** MBO is a process of setting mutually agreed-upon goals and using those goals to evaluate employee performance.



*Steps in a typical MBO program.*

Studies of actual MBO programs confirm that MBO can increase employee performance and organizational productivity. However, top management commitment and involvement are important contributions to the success of an MBO program.

#### **WORKPLACE CONFIDENTIAL: When you Face a Lack of Clear Directions**

The workplace of today exhibits rapid change. While some people thrive on ambiguity, others find it frustrating and stressful. So, how do you handle it when your boss gives you ambiguous guidelines or a lack of clear directions? Here are three suggestions to help you handle those situations:

1. Suppress your urge to control things. Learn to accept the fact that you can't control everything related to your job.
2. Learn to act without the complete picture. In the real world we don't always know everything but have to act anyway.
3. You can make decisions based on the information you have, even if the information is not complete. Sometimes a wrong decision is better than none. Don't be afraid to move ahead and make a decision.

## CONTEMPORARY ISSUES IN PLANNING

How managers can plan effectively in dynamic environments as well as addressing the concept of environmental scanning.

### A. **Environmental Scanning**

A manager's analysis of the external environment may be improved by **environmental scanning**, which involves screening information to detect emerging trends. **Competitive intelligence** is the process of gathering information about competitors that allows managers to anticipate competitors' actions. Competitive intelligence is not corporate espionage – much competitor-related information is publicly available. Purchasing access to databases as well as searches on the Internet can provide key information. Global information can be garnered through subscriptions to news services.

| What                        | Where                                 |
|-----------------------------|---------------------------------------|
| <b>General Environment</b>  |                                       |
| Political                   | Lobbyists; political representative   |
| Economic                    | Fed minutes; financial news           |
| Social                      | Social media                          |
| Technological               | Patent reports                        |
| <b>Specific Environment</b> |                                       |
| Industry                    | Business media; industry associations |
| Competitors                 | Web sites; others in the industry     |
| Suppliers                   | Vendors                               |
| Customers                   | Surveys; focus groups                 |

Social media is becoming an important source of competitive intelligence. LinkedIn, Facebook, and Twitter provide a wealth of information about consumer opinions and patterns.

## This part is for BI students

### B. Virtual Reality.

1. **Virtual reality (VR)** refers to a three-dimensional, interactive, computer-generated experience that takes place in a simulated environment.
2. VR tools can help with facility design, product design, and a host of other planning issues that require modelling. VR has also been utilized in financial planning and other collaborative projects.

### DISCUSSION QUESTIONS

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*1. Planning takes a lot of effort. Why do you think people should engage in it?*

People should engage in planning due to at least 4 reasons:

- a) Planning provides direction.
- b) Planning reduces uncertainty.
- c) Planning minimizes waste and redundancy.
- d) Planning establishes the goals and standards used in controlling actions.

*2. Define the term goal and explain how planning fits into an organization's goal.*

A goal is a desired outcome or target. A plan is an outline of how that goal is going to be met. The two terms are closely connected; goals need plans and a plan's purpose is to achieve a goal or set of goals. Planning encompasses defining the organization's objectives or goals, establishing an overall strategy for achieving these goals, and developing a comprehensive hierarchy of plans to integrate and coordinate activities. Therefore, it is concerned with ends (what is to be done) as well as with means (how it is to be done).

*3. What are the different types of organizational plans? Are they independent of each other?*

Organizational plans can be categorized in terms of breadth (strategic versus operational), timeframe (short-term versus long-term), specificity (directional versus specific), and frequency of use (single use versus standing). These types of plans are not independent of one another.

*4. Outline the five steps required for setting goals in an organization. Explain how they work.*

The five steps are: to review the organization's mission or purpose (goals will reflect this); evaluate available resources (it is foolish to set goals that are impossible to reach due to lack of resources); determine the goals (make them SMART); write down the

goals (this forces people to think them through); and review results (change the goals if needed).

*5. What is the fastest-growing area of environmental scanning? What does it provide to an organization?*

One of the fastest-growing forms of environmental scanning is competitor intelligence—gathering information about competitors that allows managers to anticipate competitors' actions rather than merely react to them. It seeks basic information about competitors.

*6. Setting organizational goals is an important step in planning. What are the approaches to setting organizational goals? Which do you consider the best?*

Organizational goals are set either through a traditional process or by using management by objectives (MBO). In the traditional approach to goal-setting, goals set by top managers flow down through the organization and become sub-goals for each organizational area. The planning is done entirely by top-level managers, who are often assisted by a formal planning unit that helps them write the various organizational goals. This approach makes planning thorough, systematic, and coordinated. However, what often happens is that clarity is lost as the goals make their way down from the top of the organization to lower levels. The other approach, called management by objectives (MBO), is a process of setting mutually agreed-upon goals and using those goals to evaluate employee performance. MBO programs have four elements: goal specificity, participative decision-making, an explicit period, and performance feedback. Instead of using goals to make sure employees are doing what they are supposed to be doing, MBO uses goals to motivate them as well. The appeal is that it focuses on employees working to accomplish goals that they have had a hand in setting. Therefore, it can be concluded that the traditional approach of top-down planning is inferior

## Assignment 4

1. Which of the following is one of the reasons why managers should plan?
  - A) When work activities are coordinated around plans, inefficiencies become obvious.
  - B) Uncertainty can be eliminated and the organization can be insulated from change with planning.
  - C) Planning eliminates the need to set goals.
  - D) Planning eliminates the need to measure work effort.
  
2. When formal planning fails to lead to higher performance, which of the following is most likely to be the reason for the failure?
  - A) A participative style of planning was used.
  - B) Managers were allowed too much autonomy.
  - C) The company emphasized the control function over other functions.
  - D) External forces constrain managers' options.
  
3. Most companies' goals can be classified as either \_\_\_\_\_ or \_\_\_\_\_.
  - A) strategic; financial
  - B) operational; tactical
  - C) social; economic
  - D) strategic; operational
  
4. If top management set a goal that each store in the company should have sales equal to or greater than \$100 per square foot per day, this would be an example of \_\_\_\_\_.
  - A) a strategic plan
  - B) a directional plan
  - C) a financial goal
  - D) a strategic goal
  
5. When making editorial decisions for his newspaper, the owner/editor mostly picks issues that are in line with his political beliefs and those that his advertisers approve of despite his publicly stated goal "to be a champion for free speech and for the development of the community." This indicates that \_\_\_\_\_.
  - A) the company's strategic goals do not leave any room for interpretation
  - B) the company's stated goals are not its real goals
  - C) the company's goals are directional in nature
  - D) the company's financial goals derive from its strategic goals



## Case 4

Mr. Mohamed had a broad dream and goal of being the best national provider of these spare parts, while increasing his profits to double what he was making from the garage in the period of the next two years. He was making 17% return on investment from the garage. (From chapter one).

When Mr. Mohamed was invited to give a talk about the business to some of the representatives of the stakeholders, including government officials and customers, he spoke about serving a national purpose by saving the hard currency used in importing the spare parts, as well as providing jobs.

A planning meeting was held between Mr. Mohamed, the four managers and head supervisors. The meeting went on four hours and included general meetings, and individual meetings with specific managers. The outcome of this meeting included the following:

- All units of the plant including the four departments, the production facility and even the administrative staff are to observe cost reduction and working on the lowest consumption levels of resources. This is to be a general policy for running the business.
- A detailed schedule was discussed with the operations manager. It detailed the number of units to be produced, the number of workers, shifts worked, raw materials dispensed over the next two months.

### **Answer the following questions:**

- 1- Differentiate between the two types of goals described above.
- 2-How are real and stated goals identified in this paragraph?
- 3- Describe the method of goal setting if Mr. Mohamed is using MBO system
- 4- Do you think Mr. Mohamed should have wasted so much time on planning? Why?
- 5-Compare between the types of plans concluded in this meeting.
- 6- Classify these two plans on the basis of time frame, frequency of use and specificity.